LORRAINE A. WHEAT

CASE STUDY ON LIGHTENING.NET

FINANCIAL ANALYST

70 new free subscribers.

EXPANSION

100 people churned.
2 people downgraded from premium to basic.

CONTRACTION

950 subscribers at the end.

NET DECLINE OF 5%

THE STORY OF Q1

Q1 FACTS

START:

615

BASIC SUBSCRIBERS

Basic subscriptions pay $19.99

250

PREMIUM SUBSCRIBERS

Premium subscriptions pay $29.99

135

FREE SUBSCRIBERS

Free subscriptions pay $0.00

END:

592

218

140

Q1 REVENUE STARTED AT NEARLY $20K PER MONTH

THE FORMULA

REVENUE

Basic MRR = $12,293.85
Premium MRR = $7,497.50
Starting Combined Total MRR = $19,791.35
Starting ARR = $237,496.20

THE IMPACT

This is the baseline for the forecasts and the budgeting.

CHURN IS ERASING MOMENTUM WITH -5% GROWTH RATE

THE FORMULA

GROWTH RATE

Starting Subs = 1000
New Subs = 50
Churn = 100

Ending Subs = 950

User Growth Rate = -5%

THE IMPACT

A -5% growth rate means the company is shrinking, not scaling. Churn is silently erasing momentum.

40 CONVERTED OUT OF 140, A 19.5% CONVERSION RATE

THE FORMULA

CONVERSION RATE

Free Subs Start = 135
New Free Subs = 70
Conversion = 40
Ending Free Subs = 140

Paid Conversion Rate = 19.5%

THE IMPACT

The company effectively converted 40 of its 205 total free users for Q1, producing a 19.5% conversion rate. At this rate, if we add 100 free users next quarter, approximately 19 will convert.

10 CUSTOMERS DISAPPEAR ON AVERAGE WITH A 10% CHURN

THE FORMULA

CHURN RATE

Churn = 100
Start Subs = 1000

Churn Rate = 10%

THE IMPACT

A 10% quarterly churn rate means one out of every ten customers disappears before the next reporting cycle.

SUBSCRIBERS GENERATE $23 ON AVERAGE

THE FORMULA

AVERAGE REVENUE PER USER (ARPU)

Ending paying subscribers:
Basic: 592
Premium: 218
Total Paying = 810
Ending MRR:
Basic MRR = $11,834.08
Premium MRR = $6,537.82
Total Ending MRR = $18,371.90

Monthly ARPU = $22.68

THE IMPACT

Currently ARPU is more than the basic subscription cost and less than the premium.

THE AVERAGE CUSTOMER GENERATES $226 BEFORE CHURNING

THE FORMULA

LIFETIME VALUE (LTV)

Churn Rate = .10
AVG Lifetime = $22.68

LTV = $226.80

THE IMPACT

The average customer generates approximately $226 before churning, assuming stable churn and revenue. Acquisition costs must stay well below this number.

RECURRING REVENUE ENDED Q1 DOWN 8%

THE FORMULA

RECURRING REVENUE

Ending MRR = $18,371.90
Ending ARR = $220,462.80
Starting MRR = $19,791.35
Starting ARR = $237,496.20

Recurring Revenue = -8%

THE IMPACT

If subscriber counts stabilize, leadership can reasonably project just over $220K annually from this base alone.

THE EXISTING CUSTOMER REVENUE CONTRACTED 11%

THE FORMULA

NET RETENTION REVENUE

Churn = -$2,249.10
Net downgrade contraction = -$20.00
Expansion = +$150.00
start MRR = $19,791.35

Q1 Net Retention Rate = 89%

THE IMPACT

Churn and downgrades are greater than expansion. Revenue durability is weak.

Q1 SUMMARY

THE COMPANY IS SHRINKING

CHURN IS OUT PACING ACQUISITIONS WITH A -5% GROWTH RATE

RECURRING REVENUE IS DOWN 8%

CUSTOMER LIFETIME VALUE IS $226

SUGGESTIONS: ANALYZE DOWNGRADE TRIGGERS. REASSESS PRICING AND PACKAGING. FIND CREATIVE WAYS TO KEEP CUSTOMER ACQUISITION COSTS BELOW $226.

ABOUT ME

4+ YEARS IN DATA AND ENTERTAINMENT

SKYDANCE PARAMOUNT

Owned the media and data operations for post production marketing.

WRITER & FILMMAKER

Filmmed award-winning short films and published news, short stories, and ya romance.

MY PASSIONS

UNCOVERING INSIGHTS THAT DRIVE INNOVATION

DATA ANALYSIS

PYTHON & SQL

M.S. in Data Analytics:
Data Management, Data Modeling, SQL, Python, Machine Learning.
Political Sentiment Research:
Scraped 2024 election news and used spaCy to identify sentiment.
Customer Segmentation Study:
Utilized K-Means clustering to identify patterns.

DATA STORYTELLING

AIRTABLE & TABLEAU

Interactive Dashboards:
Explored performance, trend analysis, and insights in Tableau.
Automation Workflows:
Uncovered KPIs, and visualized alignment for Asana workflows.
Visualized Statistical Analysis:
Conducted experiments, and visualized findings in Airtable.

INNOVATION

PYTHON & AI

Data Management:
Analyzed 16PB of media across NY and LA infrastructure.
AI & Data:
Built Python/Zapier data processing automations.
Employee Insights Study:
Built structured data, uncovering turnover patterns in workforce.